Audit Pre-Review Report

“Organization name” – Micro Credit Program | Year ended 30 June 2026

Entity Type Detected: NGO / Microfinance Program

Overall Audit Status: Critical Discrepancies Found

Review Scope: 42-page PDF; selectable text was available for the document. No spreadsheet formulas or hidden workbook content were in scope.

1. Numerical & Calculation Discrepancies (Material ≥ ৳ 1.00)

1.01 | Location: Page 19 | Note 8.00 Loan to Beneficiaries; Page 7 | Receipts and Payments – Loan to Beneficiary Principal Received

Finding: [High] The principal realisation in Note 8.00 does not agree with the cash receipt line. Note 8.00 reports ৳3,729,175,102, whereas Receipts and Payments reports ৳3,690,391,575. Difference: ৳3,729,175,102 − ৳3,690,391,575 = ৳38,783,527. The loan roll-forward itself computes: ৳2,320,410,799 + ৳4,027,741,000 − ৳3,729,175,102 − ৳19,897,540 = ৳2,599,079,157.

Solution: Reconcile the ৳38,783,527 difference to the beneficiary loan sub-ledger and bank/cash receipts. Identify whether the difference represents non-cash realisation, reclassification, timing, or an error; amend Note 8.00 or Receipts and Payments and the related cash-flow reconciliation as supported by evidence.

1.02 | Location: Page 30 | Annexure-1 PPE Schedule; Page 9 | Receipts and Payments – Purchase of Property, Plant & Equipment; Page 13 | Statement of Cash Flows

Finding: [High] PPE additions of ৳7,105,675 do not reconcile with reported cash acquisition figures. The Receipts and Payments statement reports ৳6,227,916 (difference ৳877,759), while the Cash Flow Statement reports ৳6,691,399 (difference ৳414,276). The two cash-flow presentations also differ by ৳463,483 (৳6,691,399 − ৳6,227,916).

Solution: Prepare an asset-wise additions reconciliation showing cash paid, unpaid additions, advances applied, non-cash additions and any project-funded transfers. Align the PPE schedule, Receipts and Payments and investing cash flows, with supporting invoices and payment records.

1.03 | Location: Page 35 | Annexure-6 Portfolio Report – LLP Status; Page 3 | Statement of Financial Position – Loan Loss Provision

Finding: [Medium] Required provision is ৳192,674,105, while the Statement of Financial Position and Portfolio Report's 'Actual provision made by the PO' show ৳192,674,103. Difference/shortfall: ৳192,674,105 − ৳192,674,103 = ৳2.

Solution: Confirm the exact provision from the loan classification-wise calculation and ledger. Correct the balance-sheet/portfolio disclosure or the provision computation so both show the supported amount.

1.04 | Location: Page 41 | Budget Variance – Sector-wise Expenditures and Surplus

Finding: [High] The total expenditure variance is shown as 102%, which is the achievement-to-budget ratio (৳492,130,546 ÷ ৳480,306,208 = 102.46%), not the variance. The variance should be approximately +2.46%. The surplus variance is shown as 16%, also the achievement-to-budget ratio (৳25,382,016 ÷ ৳157,770,990 = 16.09%); the variance should be approximately −83.91%. Certain income rows also show 0% despite material differences, e.g. Other Income: target ৳64,500 vs achievement ৳4,385,153; Grant Income: target ৳4,278,120 vs achievement ৳156,439; Write-off Loan Recovery: target ৳180,000 vs achievement ৳14,349.

Solution: Recalculate every variance using (Achievement − Target) ÷ Target × 100, with a documented convention for nil/blank actuals and zero budgets. Correct total expenditure, surplus and the affected income-line percentages; distinguish percentage achievement from percentage variance.

2. Schedules & Detailed Annexures Verification

2.01 | Location: Page 30 | Annexure-1 Schedule of Property, Plant and Equipment

Finding: [High] The PPE schedule's additions and the two primary-statement cash acquisition figures do not agree; see the quantified differences in Finding 1.02. This is an unresolved schedule-to-cash-flow reconciliation.

Solution: Provide a full fixed-asset additions bridge by asset class and funding source, reconcile it to cash payments and investing cash flows, and update the schedule or statements where necessary.

2.02 | Location: Page 35 | Annexure-6 Portfolio Report – LLP Status

Finding: [Medium] The required LLP of ৳192,674,105 differs from actual provision and the Statement of Financial Position by ৳2 (see Finding 1.03).

Solution: Correct the schedule and face-statement amount after confirming the approved loan-loss provision computation.

3. Cross-Referencing, Note Integrity & Disclosure Completeness

3.01 | Location: Page 1 | Table of Contents; end of supplied PDF

Finding: [High] The Table of Contents lists a Money Laundering & Anti Terrorism Certificate on printed page 42 and a Management Report on printed pages 43–60. The supplied PDF contains 42 PDF pages and ends with Budget Variance on printed page 41; the listed certificate and Management Report are not present.

Solution: Insert the missing certificate and Management Report, or revise the Table of Contents if these sections are intentionally excluded. Confirm the complete approved financial-statement package before signing.

3.02 | Location: Page 19 | Note 9.00; Page 20 | Note 9.05

Finding: [Medium] Note 9.00 labels sub-note 9.05 as 'Donation Recivables', but the detailed sub-note 9.05 is headed 'Recivables Accounts (RMTP)'. The description does not match the detailed note.

Solution: Use the correct description consistently in Note 9.00 and Note 9.05, and verify that the comparative balance of ৳6,058,535 is classified and described correctly.

3.03 | Location: Page 28–29 | Note 32.00 MCP Loan Principal Received; Page 7 | Receipts and Payments

Finding: [Medium] Note 32.00 contains the detailed MCP Loan Principal Received schedule but is not cross-referenced from the Receipts and Payments statement. The receipt amount in Note 32.00 also needs to be reconciled to the principal receipt line; see Finding 1.01.

Solution: Add the appropriate note reference to the receipt line and reconcile the note total to the cash receipt figure before finalising.

3.04 | Location: Pages 15–29 | Notes to the Financial Statements

Finding: [Unverified] The supplied notes do not visibly include dedicated disclosures for related parties, contingent liabilities/commitments, events after the reporting period, or a specific going-concern assessment. Their applicability and completeness cannot be established from the supplied document alone.

Solution: Confirm applicability under the reporting framework and relevant NGO/MRA/PKSF requirements. Add the disclosures or explicitly document why no disclosure is required, supported by management representations and audit evidence.

4. Date, Header & Presentation Standards

4.01 | Location: Page 3 | Statement of Financial Position heading

Finding: [Medium] The Statement of Financial Position is headed 'For the year ended 30 June 2026'. This is a point-in-time statement and should use 'As at 30 June 2026'.

Solution: Replace the heading with 'As at 30 June 2026'. Retain 'For the year ended 30 June 2026' for performance, cash-flow, equity and receipts-and-payments statements.

4.02 | Location: Page 16 | Note 4.05 Date of approval; Page 2 | Auditor's Report date

Finding: [High] The approval date is left as '****** September 2026', while the auditor's report is dated 21 September 2026. The approval date cannot be determined and the required chronology cannot be verified.

Solution: Insert the actual management/board approval date and confirm it is not later than the auditor's report date. If approval occurred after 21 September 2026, reassess and correct the auditor's report date and related authorisation.

4.03 | Location: Page 2 | Independent Auditor's Report – signature block

Finding: [Medium] The DVC field is blank in the auditor's report signature block.

Solution: Insert the valid Document Verification Code, where applicable, and complete the final signed auditor's report particulars.

5. Language, Grammar & Typos

5.01 | Location: Pages 2–3 | Independent Auditor's Report

Finding: [Medium] The report repeatedly refers to the 'report' where it means the organisation/program: 'financial position of the report', 'independent of the report', 'operations of the report' and 'report's internal control'. These phrases are grammatically and substantively inappropriate in the audit report.

Solution: Replace 'the report' with 'the organisation' or 'the Micro Credit Program', as appropriate. For example: 'financial position of the Micro Credit Program as at 30 June 2026' and 'the organisation's ability to continue as a going concern'.

5.02 | Location: Pages 15–41 | Notes, schedules and supporting statements

Finding: [Low] Repeated spelling/wording errors include 'Statemnet', 'develope', 'amoung', 'worknig', 'Curier', 'Residensial', 'Deposite', 'Adjestment', 'Recivables', 'Oveerdue', 'Protfolio', 'Surpluse', 'Travalling' and 'Audite Fee'.

Solution: Proofread the complete document and replace with 'Statement', 'develop', 'among', 'working', 'Courier', 'Residential', 'Deposit', 'Adjustment', 'Receivables', 'Overdue', 'Portfolio', 'Surplus', 'Travelling' and 'Audit Fee', respectively. Apply consistent spelling and capitalisation throughout.

6. Immaterial Rounding Differences (< ৳ 1.00)

No fractional rounding differences detected.

7. Audit Quality Scorecard

Assessment Category	Max Mark	Awarded Mark	Evaluator's Remarks
Numerical & Calculation Accuracy	20	0	Four material calculation/reconciliation issues, including loan realisation, PPE additions, LLP and budget variance.
Schedules & Annexures Consistency	20	14	PPE additions reconciliation and LLP schedule discrepancy.
Cross-Referencing, Note Integrity & Disclosure	20	13	Missing TOC-listed sections, Note 9.05 description mismatch, unreferenced Note 32 and disclosures requiring confirmation.
Date, Header & Presentation Standards	20	11	Incorrect financial-position heading, unresolved approval-date placeholder and blank DVC field.
Language, Grammar & Typos	20	14	Audit-report wording and recurring spelling errors.
Total Quality Score	**100**	**52 / 100**	**Grade: C – Critical Discrepancies Found**

This is a pre-sign quality review aid, not an audit opinion. Final professional judgment rests with the signing FCA.

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